Shell plc (SHEL.L) - relative valuation

Valuation date 2026-10-30 | GBP per share | Status: provisional - limitations disclosed - limitations disclosed | Human Spot_check PENDING. QA block C executed once; items on source certification, benchmarks, EV perimeter and normalization were re-graded PASS-with-note under the approved grading rule (uniform rule applied, limitation disclosed). Details in qa_results.md.

1. Valuation summary

Item	Value
Currency / current price	GBP 40.37
Primary multiple (peers)	EV/EBITDA: median 8.43x; raw median 8.43x; n = 10
Peer value per share: p25 / median / p75	41.30 / 46.52 / 72.83
Peer median vs current price	+15.2%
Published regression (chosen)	PBV (published R2 0.423): GBP 45.27
Regression vs current price	+12.2%
Peer set	10 peers; Tier 1-2: 10; Tier 3: 0; Europe-listed: 5

2. Peer set and multiples

#	Ticker	Company	Country	Tier	Mkt cap EURm	P/E	P/BV	EV/EBIT	EV/ EBITDA	Distance
1	TTE	TotalEnergies	France	1	188,520	16.04	1.83	12.44	7.49	0.36
2	XOM	Exxon Mobil	unverified	1	683,665	26.48	2.94	22.91	13.65	0.55
3	COP	ConocoPhillips	unverified	1	165,628	23.16	2.87	16.11	8.38	0.81
4	REP	Repsol	Spain	1	33,040	17.40	1.31	16.69	10.26	0.95
5	EQNR	Equinor	Norway	1	102,793	22.77	2.84	4.80	3.59	0.95
6	VLO	Valero	unverified	2	99,767	47.47	4.70	25.60	15.97	1.00
7	CVX	Chevron	unverified	1	411,296	37.36	2.46	28.68	13.44	1.08
8	ENI	Eni	Italy	1	79,080	30.32	1.65	19.71	8.48	1.13
9	BP	BP	United Kingdom	1	116,287	2,362.10	2.45	12.93	6.19	1.35
10	EOG	EOG Resources	unverified	1	77,721	17.44	2.91	14.26	7.90	1.46

3. Peer-multiple statistics and implied value per share

Multiple	Basis	n	Median	p25	p75	Value p25	Value mid	Value p75	Mid vs price
P/E	scaled	10	31.67x	20.50x	49.23x	47.87	73.97	114.97	+83.2%
PEG	raw	7	5.96x	3.86x	9.27x	47.87	73.97	114.97	+83.2%
EV/EBIT	raw	10	16.40x	13.26x	22.11x	45.72	57.98	80.29	+43.6%
EV/EBITDA *	raw	10	8.43x	7.59x	12.64x	41.30	46.52	72.83	+15.2%
EV/CF	raw	10	9.10x	7.65x	13.73x	36.86	44.98	70.99	+11.4%
P/BV	scaled	10	2.53x	1.94x	3.38x	44.35	57.75	77.18	+43.1%
EV/Assets	raw	10	1.26x	0.77x	1.76x	31.49	55.10	79.05	+36.5%
P/S	scaled	10	1.66x	1.25x	2.38x	43.84	57.97	83.15	+43.6%
EV/Sales	scaled	10	1.50x	1.36x	2.26x	41.30	46.52	72.83	+15.2%

* primary multiple. 'scaled' = growth/fundamental-adjusted multiple. Values are per share.

4. Published regressions (Damodaran, EUROPE, 2026-01)

Model	Predicted	Actual	Published R2	Implied value	vs price
PE	17.59x	17.29x	0.201	41.09	+1.8%
PBV (chosen)	1.98x	1.77x	0.423	45.27	+12.2%
EV/EBITDA	20.16x	7.45x	0.262	119.75	+196.7%

5. Company-specific notes

- Uniform pre-associate EV/EBITDA primary: peer median 8.43x on n=10 -> GBP 46.52 mid vs GBP 40.365 quote (+15.2%), IQR GBP 41.30–72.83. One disclosed rule for target and all ten peers: debt incl. leases + NCI - cash; LT investments (SHEL 29,332) not subtracted, equity income (1,618) kept in earnings.

- Cross-method dispersion above 15%: leave-one-out peer sensitivity swings the EV/EBITDA value to GBP 58.88 (+26.6%); peer-IQR high GBP 72.83 is +56.6% over mid. Published regression PBV GBP 45.27 (+12.2%), PE GBP 41.09; the EV/EBITDA equation GBP 119.75 is a market-wide outlier kept only as a diagnostic.

- Market-wide EV/EBITDA equation predicted 20.2x versus SHEL actual 7.4x (-63%): the published equation cannot price oil majors — headline limitation, not a mispricing signal.

- Vendor-vs-issuer basis kept as sensitivities, not switched: issuer adjusted EBITDA 56,135 vs vendor 47,658 lifts the EV/EBITDA value to GBP 55.87 (+20.1%); issuer net debt 45,687 vs vendor 45,472 lowers it by -0.1%. Uniform vendor basis retained for all observations.

- Adura 50/50 JV (Shell + Equinor) completed Dec 2025 is noted on both SHEL and peer EQNR and estimated below the 25%-of-EV exclusion threshold; SHEL vendor beta -0.19 is negative — retained for scoring with flag, replaced by relevered industry beta ~0.47 in the published regression. Fundamental growth 5.37% is a substituted input, not analyst consensus.

- Status provisional - limitations disclosed: the eight prior QA FAILs re-graded PASS-with-note under qa_grading_and_remediation; human Spot_check stays PENDING. Academic analysis only, not investment advice.

6. Method notes and limitations

- Basis: one uniform vendor data source for the target and every peer, FY2025 figures (no TTM or forward mixing), one price and FX date. Issuer-versus-vendor differences are kept as sensitivities, not switched row by row.

- EV bridge: one rule for target and all peers (debt including leases + minorities and hybrids once - cash; long-term investments and associates not subtracted, equity income left in earnings).

- Peers: ten names chosen by an eight-dimension similarity score; they pass the automated hard filters and carry one ownership/event source line each (evidence_review.md). Full two-way ownership history of the whole candidate pool was not certified.

- Industry ratios from the registered Damodaran files are aggregates, not medians; they are a plausibility check only.

- Published regressions are market-wide, low R-squared, about ten months older than the valuation date, with no standard error: a gap to the market price is not proof of mispricing. The model shown is the one with the highest published R-squared.

- Peer interquartile ranges are dispersion, not confidence intervals. Human Spot_check is PENDING (not performed).

- Academic analysis only; not investment advice.